CASH TO COMPANY · GRADE 10

a FlexLifeFi K-12 program

Ten Anchor Lessons

Standards, materials, procedure, differentiation - ready to teach.

Grade 10 year theme — Ownership, Money, and Compliance.
The 9-12 band is built for the adults who will scrutinize: parents, teachers, administrators.

9-12 BAND · HIGH SCHOOL

LESSON PLANS

CONTENTS

Inside this volume

Grade 10 · Lesson Plans · the magazine version of the master document, set for adults to read end-to-end.

01 Lesson 1 — Hobby vs. Side Hustle vs. Small Business vs. Startup

02 Lesson 2 — The Four-Case Categorization Studio (Checkpoint 1 prep)

03 Lesson 3 — Principal, Interest, and What APR Actually Costs

04 Lesson 4 — Friends-and-Family Money: Reading the Term Sheet Honestly

05 Lesson 5 — Funding Comparison Studio (Checkpoint 2)

06 Lesson 6 — Operating Agreement Clause-by-Clause

07 Lesson 7 — Sole Prop vs. LLC: Liability, Cost, Complexity

08 Lesson 8 — The Premortem

09 Lesson 9 — Compliance Map: License, Sales Tax, ID, Age, PII

10 Lesson 10 — Final Capstone Defense: Vision, Pushback, and the Captured Revision List

11 Senior expert upgrade pack — Grade 10 worked examples and misconceptions

12 ROUND 2 PATCH — Common Misconceptions (Grade 10)

13 ROUND 2 PATCH — Worked Example for Friends-and-Family Money

14 ROUND 2 PATCH — Multi-Class Branching Scenario (Grade 10)

15 ROUND 2 PATCH — Accounting Basics One-Pager (Grade 10, NEW)

16 ROUND 2 PATCH — Teacher Move Set (Grade 10)

GRADE 10 · LESSON PLANS

Ten Anchor Lesso

The legal, financial, and operational chassis under every venture.

10

Ten fully fleshed lessons spanning the year. Each lesson passes the picks-up-Monday test: a teacher with no prior prep should be able to read this Sunday night and teach it Monday morning. Standards are cited at the benchmark level. Differentiation notes are specific and actionable. Vocabulary is included for each lesson. Time blocks default to 55 minutes (single high-school period) unless noted; longer blocks are flagged.

WITH CASH - 9-12 VOICE

"Don't make up a winner. Decide what to test next."

Lessons sample across the year so the full arc is visible:

1. (Week 1) Cash V1 launch + Hobby vs. Side Hustle vs. Small Business vs. Startup
2. (Week 5) The Four-Case Categorization Studio (Checkpoint 1 prep)
3. (Week 11) Principal, Interest, and What APR Actually Costs
4. (Week 14) Friends-and-Family Money — Reading the Term Sheet Honestly
5. (Week 17) Funding Comparison Studio (Checkpoint 2)
6. (Week 21) Operating Agreement Clause-by-Clause
7. (Week 25) Sole Prop vs. LLC — Liability, Cost, Complexity
8. (Week 30) The Premortem
9. (Week 33) Compliance Map — License, Sales Tax, ID, Age, PII
10. (Week 36) Final Capstone Defense — Vision, Pushback, and the Captured Revision List

Lesson 1 — Hobby vs. Side Hustle vs. Small Business vs. Startup

> **"You can pick what kind of business you build. It's a choice."**
>
> - CASH, GRADE 10

Grade band: 9-12 **Time:** 55 minutes **Unit:** 1 — What kind of thing is this? **Topic area:** Categorization · entrepreneurship launch

Objectives

By the end of this lesson, students will be able to:

- Define the four categories (hobby, side hustle, small business, startup) using two distinguishing criteria each.
- Place 4 real-world ventures on a 2×2 grid (intent to scale × dependence on income) with a written reason for each placement.

Standards alignment

- **CCSS-ELA W.9-10.1:** Write arguments to support claims with valid reasoning. (Applied to defending category calls.)
- **C3 D2.Eco.10.9-12:** Use current data to explain the influence of changes in spending, production, and the money supply on various economic conditions. (Light touch — the four categories sit on different scales of capital and impact.)
- **CASEL Self-Awareness:** Recognizing one's own intentions for a venture.

Materials

- Cash Video #1 ("What kind of thing is this?") — 2:50. (If no projector, use the printed transcript.)
- Capstone Journal (notebook) per student.
- The four-case profile set, 1 page each (provided in program assets).
- A 2×2 grid posted on the wall: x-axis "intent to scale" (low → high), y-axis "dependence on income" (low → high).
- Sticky notes — 4 per student.

Vocabulary

- **Hobby** — a venture done for the doing, not the income; the money, if any, is incidental.
- **Side hustle** — a venture run alongside a primary income source, intended to generate supplementary money but not replace it.
- **Small business** — a venture intended to be the operator's primary income, usually serving a local or specific market, not built to scale.
- **Startup** — a venture explicitly built to scale — to grow large, often on outside capital, often with the founder's full time.

Procedure

1. ENGAGE — CASH VIDEO + ONE QUESTION (~10 MIN)

Play Cash Video #1. As students watch, post the prompt on the board:

> **"Think of someone you know who 'has a business.' What kind of thing is it actually — hobby, side hustle, small business, or startup? How can you tell?"**

Pair-share for 3 minutes. Cold-call three students to share. (Don't correct — surface the language students bring.)

2. EXPLAIN — THE FOUR CATEGORIES (~10 MIN)

Define each on the board with the two distinguishing criteria:

Category	Intent	Time/income share
Hobby	Joy, not income	Marginal income; tiny share of time
Side hustle	Supplemental income	Real but not primary; nights/weekends
Small business	Primary income	Most of the operator's working time
Startup	Scale	Full-time + outside capital usually

Surface the rule: "The category isn't about the activity. It's about the intent and the dependence. The same activity — selling cookies — can be a hobby, a side hustle, or a small business. The activity doesn't tell you. The structure around it does."

3. EXPLORE — THE 2×2 WALL (~12 MIN)

Hand each student 4 sticky notes. Distribute the four-case profile set. Read each profile aloud (or have students read silently). For each, students write a sticky note with: case name, category, and one-sentence reason. Place on the 2×2 grid.

After all four are placed, walk the wall. Pick the case with the most divergent placements and ask two students with different placements: "what made you pick that spot?" Don't resolve — let students hear each other's reasoning. Then offer the program's call (with hedge): "Here's how the curriculum would categorize it, and the reasons. You can disagree if your reasoning is sharper."

4. APPLY — THE DAY 1 CAPSTONE CATEGORIZATION (~15 MIN)

In the Capstone Journal, students write three things:

1. The kind of venture they're imagining for their Capstone (one sentence).
2. **The Day 1 Categorization.** Format: "My Capstone is a [hobby / side hustle / small business / startup] because [reason 1] and [reason 2]."
3. One thing that could change their categorization in either direction.

Confer with 5 students while others write — ask one sharpening question per student.

5. CLOSE — PIN AND PREDICT (~8 MIN)

Each student writes the Day 1 Categorization on an index card with their name. Collect them. Tell them you will hand them back at Checkpoint 1 (Week 8) and they'll see whether their categorization survived contact with evidence.

> **"Predict: in Week 8, will your category change? Mark on the back: STAYS / SHIFTS / NOT SURE."**

Collect cards. End class.

Differentiation

- **ELL:** Provide the four definitions translated into the student's home language with cognates noted (Spanish: negocio pequeño, emprendimiento). Sentence frame on a sticky: "My Capstone is a __ because __ and __." Allow native-language brainstorming with a peer; require English on the filed card.
- **IEP/504:** Provide the four-case set in chunked format (one criterion bolded per case). Allow voice-recording the Day 1 Categorization for transcription later. Pre-printed sticky notes with category options checkable.
- **Advanced learners:** Push for temporal nuance. "Is this a hobby today and a side hustle in 18 months? What would have to change?" Add a fifth case from the news (the teacher provides) — categorize and defend.

Assessment

Formative: Watch the wall placements. Read Day 1 Categorizations during conferring.
Summative: The Day 1 Categorization is filed; will be compared to Week 8 Capstone categorization for the Categorization Pack reflection.

Closure

Same as #5 above.

Homework / Extension

Read the page in the Student Activity Book titled Four Ventures, Four Choices (the four-case set in print) and underline a sentence in any case where you see intent to scale or dependence on income show up.

Teacher notes

- Some students will fight the categories. Good. Coach: "Categories are tools, not truths. You don't have to love them. You have to be able to use them."
- A student says "my Capstone is a startup." Probe: "Are you raising outside capital? Are you building to grow to many cities or many millions of users?" Many students think "startup" means "anything new." Reset: startup is a specific funding-and-growth profile, not a synonym for "new."
- A student names a venture you find ethically iffy. Use the Week 9 pivot window — don't redirect now. Capture it; revisit in Week 9.

Lesson 2 — The Four-Case Categorization Studio (Checkpoint 1 prep)

Grade band: 9-12 **Time:** 75 minutes (block — or 2 × 40-minute periods) **Unit:** 1 — What kind of thing is this? **Topic area:** Categorization · evidence synthesis · Capstone work

Objectives

By the end of this lesson, students will be able to:

- Categorize four real-world ventures with at least two pieces of evidence each.
- Defend a categorization choice in a 90-second peer share.

Standards alignment

- **CCSS-ELA W.9-10.1:** Write arguments to support claims with valid reasoning and relevant evidence.
- **CCSS-ELA SL.9-10.4:** Present findings clearly and concisely with appropriate evidence.
- **CASEL Responsible Decision-Making:** Considering multiple criteria.

Materials

- The four-case profile set (already used in Week 1; revisit).
- Categorization Pack template (provided): 4 case rows × columns (category, evidence 1, evidence 2, what would change my mind).
- Capstone Journal.
- Wall space for posting completed packs.

Vocabulary

(All previously introduced — recycle.) Reinforce: hobby, side hustle, small business, startup, scalable, intent.

Procedure

1. ENGAGE — DISAGREEMENT ROUND (~10 MIN)

Project the case the class disagreed on most in Week 1. Read it aloud. Students vote silently (sticky note) on category. Reveal the spread. Two students with different votes do a 60-second case for their position. Class re-votes. Note how many minds changed. Surface the rule: "Better evidence beats stronger feelings. Always."

2. BUILD — CATEGORIZATION PACK (~40 MIN)

Distribute the Categorization Pack template. Students work independently:

For each of 4 cases, fill in: - **Category** (one of four). - **Evidence 1** — a specific quote, number, or detail from the case. - **Evidence 2** — a second piece of evidence (must be different from #1). - **What would change my mind?** — one specific fact that would shift the call.

Confer with each student for 2–3 minutes. Push back on lazy evidence ("they make things" doesn't categorize anything).

3. APPLY — YOUR CAPSTONE (~15 MIN)

In the second half of the pack, students categorize their own Capstone with the same four-column format. Use the Day 1 Categorization card (returned this lesson) as the starting point.

Common move: students who said "startup" in Week 1 will quietly re-categorize after seeing the four-case examples. That's the point.

4. CLOSE — PEER SHARE (~10 MIN)

Pair students. Each gives a 90-second share: name the four cases, your categorization, and the one piece of evidence you're most sure of. Partner asks one question. Switch.

End class. Collect Categorization Packs for Checkpoint 1 grading.

Differentiation

- **ELL:** Provide each case with key evidence pre-highlighted; sentence frames for the "what would change my mind" cell. Allow native-language reasoning during pair share with English written submission.
- **IEP/504:** Reduce to 3 cases instead of 4 (pick a hobby, a side hustle, and a startup — the most contrasting pair). Provide pre-formatted template with one row per page.

- **Advanced learners:** Add a 5th case — a borderline case the teacher provides (e.g., a side hustle scaling into a small business). Argue both sides; pick one with evidence.

Assessment

Summative: The Categorization Pack is graded on a custom analytic rubric (4 criteria — accuracy, evidence quality, change-of-mind specificity, communication; provided in program assets).

Closure

Same as #4.

Homework / Extension

Capstone Journal: "If my Capstone shifts category in the next 6 months, what's the most likely direction, and what would have caused the shift?" 4–6 sentences.

Teacher notes

- Anchor papers from prior years (or instructor-built exemplars) calibrate scoring. A 3 looks like: clear category, two specific pieces of evidence, a sharp "what would change my mind" sentence. A 4 adds: an unexpected nuance — naming an ambiguity or an edge case the case profile didn't fully resolve.
- A student picks the same category for all 4 cases. Probe — that almost always means lazy categorization. Re-read each case and ask: what's different across these four?

Lesson 3 — Principal, Interest, and What APR Actually Costs

Grade band: 9-12 **Time:** 55 minutes **Unit:** 2 — Money in, money out, on whose terms **Topic area:** Loan math · funding comparison

Objectives

By the end of this lesson, students will be able to:

- Calculate total interest cost on a small fixed-rate loan using a simple amortization model.
- Compare three different APRs for the same principal and term and explain how the APR changes total cost.

Standards alignment

- **Jump$tart Standard 2 (Credit and Debt), Benchmark 12-3:** Compare sources of consumer credit — extended to small-business funding sources.
- **CEE Standard 4 (Using Credit), Grade 12:** Borrowing money usually involves repaying both the principal and the interest.
- **CCSS-Math A-SSE.B.3:** Choose and produce equivalent forms of an expression to reveal and explain properties.
- **CCSS-Math F-IF.C.8:** Write a function in equivalent forms to reveal different properties.

Materials

- Loan calculator worksheet (provided).
- Spreadsheet template — pre-built with formulas (Google Sheets / Excel for Web; provided in program assets).
- Three sample loan offers — same principal ($5,000), same term (24 months), different APRs (6%, 12%, 22%). All fictional.
- Calculator (or spreadsheet for advanced learners).

Vocabulary

- **Principal** — the amount of money originally borrowed.
- **Interest** — the additional money paid to the lender for the privilege of using their money.
- **APR (Annual Percentage Rate)** — the annualized cost of the loan as a percentage of the principal, including interest and most fees.
- **Total interest paid** — the cumulative interest over the life of the loan.

Procedure

1. ENGAGE — TWO LOAN STORIES (~7 MIN)

Tell a 2-minute story (made up to be true): "Two students each borrow $5,000 for inventory for a side hustle. Same store, same supplies, same plan. Student A's loan is at 6% APR. Student B's loan is at 22% APR. Both pay back over 2 years. By the end, one student has paid almost $700 more in interest than the other."

Ask: "How much money do you think the difference is? Vote: less than $500, $500–$1,000, more than $1,000." Pair-share predictions.

2. EXPLAIN — THE MATH (~10 MIN)

Define principal, interest, APR. Walk through the formula at the conceptual level — for a fully amortizing fixed-rate loan, the monthly payment is calculated so that the loan balance

reaches zero at the end of the term. Each payment is part interest, part principal; early on, more goes to interest.

For a quick estimate at this band, use the simplified formula (with calculator or spreadsheet):

`Monthly payment ≈ (Principal × monthly rate) / (1 − (1 + monthly rate)^−n)`

Where monthly rate = APR/12 and n = number of months.

For the 6% / $5,000 / 24-month example: monthly rate = 0.005, n = 24, monthly payment ≈ $221.60. Total paid ≈ $5,318. Total interest ≈ $318.

For the 12% / $5,000 / 24-month: monthly payment ≈ $235.37. Total paid ≈ $5,649. Total interest ≈ $649.

For the 22% / $5,000 / 24-month: monthly payment ≈ $259.18. Total paid ≈ $6,220. Total interest ≈ $1,220.

The difference between 6% and 22%: about $902 in extra interest on the same $5,000.

3. WE DO — SPREADSHEET WALKTHROUGH (~15 MIN)

Project the spreadsheet template. Walk through entering principal, APR, term. Show how the monthly payment cell updates. Show the "total interest paid" cell. Change the APR — watch the totals update. Surface: small APR changes have outsized impact at higher rates and longer terms.

4. YOU DO — LOAN COMPARISON WORKSHEET (~15 MIN)

Students complete the worksheet:

- Run the same $5,000 / 24-month loan at three APRs (6%, 12%, 22%). Record monthly payment and total interest.
- Then change the term to 36 months at 12% APR. Record. Does paying longer save you money? No — it costs more interest, but the monthly payment is smaller.
- Answer 2 short-response questions:
- "If you needed the inventory but the only loan you can find is at 22%, what's a question you should ask before signing?"
- "Why would someone choose a longer term even though it costs more interest?"

Confer during work. Common stuck point: students confuse APR with monthly rate. Coach: divide by 12 to get monthly.

5. CLOSE — EXIT TICKET (~8 MIN)

One sentence: "The thing that surprised me most about loan math was [____]."

End.

Differentiation

- **ELL:** Provide the formula card with each variable labeled in plain language; cognates (Spanish: interés, principal, préstamo). Pre-fill the spreadsheet for the first scenario; require students to enter inputs for scenarios 2 and 3.
- **IEP/504:** Calculator allowed throughout. Reduce to 2 APR scenarios. Provide a pre-formatted answer template with units pre-printed.
- **Advanced learners:** Add a "what if you can pay an extra $50/month against principal?" scenario. Compute total interest savings. Surface the concept of principal prepayment.

Assessment

Formative: Worksheet performance during work block; conferring notes. **Summative:** The loan math feeds the Funding Comparison Pack at Checkpoint 2 (Week 18).

Closure

Same as #5.

Homework / Extension

Find one real loan offer in the wild this week (a credit card mailer, an auto loan ad, an SBA loan rate quoted in the news). Record the APR. Bring it Wednesday. Do not share family loan details.

Teacher notes

- Sensitivity: students may bring up real family loan situations. Listen briefly, redirect to hypothetical examples for class discussion. The worksheet should never reference real student or family debt.
- A student says "interest is free if the rate is low enough." Probe: a 2% APR on $100,000 over 30 years is still real money. Low rate plus large principal plus long term still adds up. Time amplifies interest.
- The asymmetry move: the 6% to 12% jump (doubling the rate) costs roughly $300. The 12% to 22% jump (less than doubling) costs roughly $570. Compounding makes high rates disproportionately expensive.

Lesson 4 — Friends-and-Family Money: Reading the Term Sheet Honestly

Grade band: 9-12 **Time:** 55 minutes **Unit:** 2 — Money in, money out, on whose terms **Topic area:** Funding sources · social risk · contracts

Objectives

By the end of this lesson, students will be able to:

- Identify three differences between a friends-and-family loan and a bank loan in cost, control, and social risk.
- Read a sample F&F note (1 page) and explain three clauses in plain language.

Standards alignment

- **Jump$tart Standard 2 (Credit and Debt), Benchmark 12-3:** Compare sources of consumer credit.
- **CEE Standard 4 (Using Credit), Grade 12:** Borrowing money usually involves repaying both the principal and the interest.
- **CCSS-ELA RI.9-10.4:** Determine the meaning of words and phrases as they are used in a text — including domain-specific language.
- **CASEL Relationship Skills:** Considering relationship implications of decisions.

Materials

- Sample F&F note (1-page fictional template; provided in program assets).
- Sample bank loan term sheet (1-page fictional template; provided).
- Comparison worksheet (cost, control, social risk columns).
- Capstone Journal.

Vocabulary

- **Friends-and-family round** — early-stage funding raised from people the founder knows personally; usually as a loan or a SAFE-style note.
- **Note** — a written agreement to repay borrowed money under specified terms.
- **Default** — failing to repay a loan as agreed.
- **Subordinated** — a loan that gets repaid only after other loans are paid in full.

Procedure

1. ENGAGE — TWO STORIES (~10 MIN)

Tell two short stories (3 minutes total):

> **"Story A. Maya borrows $2,000 from her uncle for inventory for an online crafts business. Handshake deal. No paperwork. Six months later, Maya's business is doing okay, but slower than she hoped. Thanksgiving rolls around and she can feel her uncle wanting to ask about the money but not wanting to ask. The dinner is awkward. The money isn't yet repaid; the relationship is wobbling."**
>
> **"Story B. Same situation. But Maya and her uncle wrote a 1-page note. It says: $2,000 principal, 4% interest, 24-month term, $87/month payment starting Month 6 (deferred). What happens if Maya can't pay Month 6? They renegotiate in writing. Maya and her uncle have referred to the note twice; it's not awkward. The money is being repaid. The relationship is fine."**

Ask: "What's the difference between A and B? Was it the money or the paperwork?" Pair-share. Surface: paperwork is a kindness. The note isn't legal protection from a stranger — it's relationship protection from yourself.

2. EXPLAIN — THREE DIFFERENCES (~10 MIN)

Compare F&F to a bank loan on three axes:

Criterion	Bank loan	F&F loan
Cost	Higher APR; explicit fees	Often lower or zero APR; no formal fees
Control	Lender doesn't get input on the business	Lender (uncle, friend) may feel entitled to opinions
Social risk	Low — you don't know the loan officer	High — bad outcomes affect the relationship

Surface the rule: "F&F money is rarely the cheapest in dollars and almost always the costliest in relationships if anything goes wrong."

3. READ — THE SAMPLE NOTE (~15 MIN)

Distribute the 1-page F&F note. Read together. Highlight three clauses for plain-language explanation:

- **Repayment terms** ("Borrower shall repay $ **monthly starting on ___ for a term of ___ months at an interest rate of** % per annum.") → "I owe this much, every month, for this long, at this rate."
- **Default + cure** ("In the event of missed payment, Borrower shall have 30 days to cure, after which the entire principal becomes due.") → "If I miss a payment, I have a month to fix it before the lender can demand the full amount back."
- **Use of proceeds** ("Funds shall be used solely for inventory purchase, equipment, and operating expenses related to [business name]; not for personal use.") → "I can only spend this on the business, not on a vacation."

Pair students. Each pair picks one of the three clauses and writes a plain-language paraphrase. Two pairs share.

4. APPLY — YOUR CAPSTONE (~12 MIN)

In the Capstone Journal, students answer:

- "If I needed $2,000 for my Capstone, who's a hypothetical F&F lender? (Use a fictional name — 'my hypothetical aunt Maria.')"
- "What three terms would I want in writing to protect both of us?"
- "What's a circumstance under which I would NOT take F&F money for this venture?"

Confer.

5. CLOSE — EXIT TICKET (~3 MIN)

One sentence: "The biggest thing F&F money costs that a bank loan doesn't is [____]."

Differentiation

- **ELL:** Pre-translated key terms (default, cure period, principal, interest). Pair on the clause paraphrase task. Allow native-language draft of the journal entry, English summary required.
- **IEP/504:** Provide the F&F note in chunked form (one clause per page). Reduce clause analysis to 2 instead of 3. Allow voice memo for the Capstone Journal entry.
- **Advanced learners:** Add a SAFE (Simple Agreement for Future Equity) note to the comparison. How does a SAFE differ from a debt note? Surface the equity-vs-debt distinction at survey level.

Assessment

Formative: Pair clause paraphrase + Capstone Journal entry. **Summative:** Feeds the Funding Comparison Pack at Checkpoint 2.

Closure

Same as #5.

Homework / Extension

Read one short founder origin story (Sara Blakely, Spanx, provided in activity book) and identify how the founder funded the early days. Was it bootstrap, F&F, or loan? Bring evidence Friday.

Teacher notes

- **Sensitivity flag:** Some students will have direct experience with family-money tension. Keep all examples explicitly hypothetical (use Maya, not "you"). If a student volunteers a real situation, listen briefly, validate, redirect to the school counselor if it's heavy. Do not require any student to write about real family money.
- A student says "I'd never take family money." Validate the choice. Probe: "Under what circumstance might it make sense? What's the protection if you did?" Honor the no without closing the analytical question.
- A student says "I'd take family money — it's free." Surface the social cost. The relationship is the cost. The dollars are the visible tip.

Lesson 5 — Funding Comparison Studio (Checkpoint 2)

> **"Which people, and how do you know?"**
>
> - CASH, GRADE 10

Grade band: 9-12 **Time:** 80 minutes (block — Checkpoint day) **Unit:** 2 — Money in, money out, on whose terms **Topic area:** Funding comparison · synthesis · recommendation

Objectives

By the end of this lesson, students will be able to:

- Build a 3-source funding comparison (bootstrap, small loan, friends-and-family) for a sample $3,000 venture using interest, control, and risk as criteria.
- Write a 1-paragraph recommendation memo defending one source.

Standards alignment

- **Jump$tart Standard 2 (Credit and Debt), Benchmark 12-3:** Compare sources of consumer credit.
- **Jump$tart Standard 5 (Risk Management and Insurance), Benchmark 12-1:** Identify risks in life and how to manage them.
- **CCSS-Math A-SSE.B.3:** Choose and produce equivalent forms of an expression.
- **CCSS-ELA W.9-10.1:** Write arguments to support claims with valid reasoning.
- **CEE Standard 4 (Using Credit), Grade 12:** Borrowing money usually involves repaying both the principal and the interest.

Materials

- Funding comparison spreadsheet template (provided).
- Sample $3,000 venture profile (a fictional teen-run custom T-shirt printing operation needing inventory + an entry-level heat press).
- Comparison rubric (Budget Project Rubric, Rubric Bank).
- Capstone Journal.

Vocabulary

(All previously introduced — recycle.) Reinforce: bootstrap, principal, interest (APR), F&F round, control, opportunity cost.

Procedure

1. ENGAGE — THE SAMPLE VENTURE (~7 MIN)

Project the sample venture profile. Read aloud. Confirm the math: $3,000 needed; $1,800 for inventory, $1,200 for the heat press.

Ask: "Three sources are on the table — bootstrap (the founder's $3,000 in savings), a small business loan at 11% APR for 24 months, and a $3,000 F&F note at 3% APR for 24 months from a hypothetical aunt. Without doing math yet — which would you pick? Vote silently."

Surface vote spread.

2. BUILD — THE COMPARISON SPREADSHEET (~30 MIN)

Students build the comparison in the spreadsheet template. Three columns (one per source) × four rows:

	Bootstrap	Loan	F&F
Total dollar cost over 24 months	(savings spent — opportunity cost)	(principal + total interest)	(principal + total interest)
Control implication	Full control	Lender contractual only; no operational	Possible relational expectations
Risk if business fails	Lost savings	Bad credit + collections	Lost savings + relationship harm
Recovery time if you need to walk away	Slow (rebuild savings)	Fast operationally; long credit recovery	Slow (relationship rebuild)

Compute the loan numbers: $3,000 / 24 months / 11% APR → monthly ≈ $139.86; total paid ≈ $3,357; total interest ≈ $357.

Compute the F&F numbers: $3,000 / 24 months / 3% APR → monthly ≈ $128.96; total paid ≈ $3,095; total interest ≈ $95.

Compute the bootstrap "cost": the $3,000 itself (no interest), plus a named opportunity cost — what else could the savings do? (A high-yield savings account at 4% APR would earn ≈ $244 over 24 months on $3,000 if undisturbed. That's the bootstrap "cost" by way of foregone interest.)

Confer with each student.

3. WRITE — THE RECOMMENDATION MEMO (~25 MIN)

Mini-lesson on memo form (~5 min):

Memo structure:

> **"To: [Founder name]. From: [Student name]. Re: Funding recommendation for [Venture]. Date: [Date].**
>
> **Recommendation: [one sentence — one of the three].**
>
> **Reasoning: [3 sentences — the strongest reason; the second-strongest reason; the strongest counterargument and why it doesn't change the call].**
>
> **Risk we are accepting: [one sentence — what could go wrong with the chosen path].**
>
> **Decision criteria: [one sentence — what evidence would change the recommendation]."**

Students draft (~15 min). Then pair with one other student for a "rubber-stamp test" (~5 min): "If you were the founder, would this memo make you confident? What would you push back on?" Revise based on partner.

4. SUBMIT (~10 MIN)

Students submit the funding comparison spreadsheet + the 1-paragraph memo. Graded on the Budget Project Rubric (Rubric Bank).

5. CLOSE — VOTE AGAIN (~8 MIN)

Re-vote on the original question (which source for the sample $3,000 venture). Compare to opening vote. Two volunteers share what changed their mind. Surface: "Better evidence beats stronger feelings."

Differentiation

- **ELL:** Provide spreadsheet with formulas pre-built; students fill inputs only. Memo template with sentence frames pre-printed. Pair with strong-language peer for the rubber-stamp test.
- **IEP/504:** Reduce to a 2-source comparison (bootstrap vs. one borrowing source). Calculator throughout. Pre-formatted memo with line-by-line prompts.
- **Advanced learners:** Add a fourth source — a $3,000 charge on a 22% APR credit card paid off over 24 months. Compute. Argue the comparison. Surface why credit cards are usually the worst small-business funding option for amounts above the smallest threshold.

Assessment

Summative: The Funding Comparison Pack is graded on the Budget Project Rubric. Anchor papers from prior years (or instructor-built exemplars) calibrate scoring.

Closure

Same as #5.

Homework / Extension

Capstone Journal: "For my own Capstone, what's the most plausible funding source if I were going to pursue this for real? Why? What's the second-most plausible?"

Teacher notes

- A student picks the F&F option because "it's the cheapest." Probe: cheapest in dollars, but what about the relationship cost? Score for tradeoff thinking, not for the "right" answer.
- A student picks bootstrap and writes "no risk." Push back: no debt risk, but the savings are still at risk if the business fails. The opportunity cost is a real cost.
- This is the rubric-graded checkpoint. Pre-show the rubric Tuesday and walk one anchor paper. Students who know the rubric outperform students who guess.

AN INTERLUDE · GRADE 10

"Which people, and how do you know?"

the program's spine question.

1

Lesson 6 — Operating Agreement Clause-by-Clause

Grade band: 9-12 **Time:** 60 minutes **Unit:** 3 — Who owns what, and how do we decide?
Topic area: Partnership agreements · operations · ownership

Objectives

By the end of this lesson, students will be able to:

- Read a 4-clause excerpt of an operating agreement and explain each clause in plain language.
- Complete two clauses of a 2-person operating agreement template for a hypothetical Capstone partnership.

Standards alignment

- **CCSS-ELA RI.9-10.4:** Determine the meaning of words and phrases — including domain-specific language.
- **CCSS-ELA W.9-10.1:** Write arguments to support claims with valid reasoning.
- **C3 D2.Eco.10.9-12:** Use current data to explain economic conditions. (Light touch — agreements shape economic outcomes between partners.)
- **CASEL Relationship Skills:** Communication, conflict management.

Materials

- 4-clause excerpt of a redacted LLC operating agreement (provided).
- 2-person operating agreement template, fillable (provided).
- Capstone Journal.
- Wall chart with 5 clause categories: Roles · Decisions · Money handling · Disputes · Exit.

Vocabulary

- **Operating agreement** — the written agreement among the owners of an LLC governing how the company operates.
- **Member** — an owner of an LLC.
- **Manager** — a person designated to run the LLC's day-to-day operations (may or may not be a member).
- **Pass-through taxation** — the LLC itself doesn't pay income tax; profits and losses pass through to members' personal returns. (Brief intro — full S-corp comparison comes Lesson 7.)
- **Distribution** — money paid out of the LLC to its members.

Procedure

1. ENGAGE — TWO BRACELET-STAND FOUNDERS (~10 MIN)

Tell a 3-minute story (made up to be true):

> **"Imagine two students, Aisha and Riley, start a custom-bracelet stand at a farmers market. Year one is great — they make $4,000 in profit. Year two, Aisha gets busy with college applications and stops showing up. Riley does 90% of the work but they had agreed to split the profit 50/50. By August, Riley is angry, Aisha is defensive, and the friendship is breaking. They never wrote anything down."**

Ask: "What could a piece of paper have done here?" Pair-share. Surface: the agreement isn't bureaucracy. It's a tool to handle the changes that always come.

2. READ — THE 4-CLAUSE EXCERPT (~15 MIN)

Distribute the redacted operating agreement excerpt with these four clauses:

Clause A — Capital contributions. "Each Member shall contribute the amount listed in Schedule A as initial capital. No additional capital contributions shall be required without unanimous Member consent."

Plain English: "We each put in this amount of money. Nobody can demand more later without everyone agreeing."

Clause B — Voting rights and decision rules. "Routine operational decisions may be made by the Managing Member. Major decisions — defined as any expense above $500, any change to the business model, any addition of a new Member — require unanimous Member consent."

Plain English: "One of us runs day-to-day. Big decisions need both of us to say yes."

Clause C — Distributions. "Distributions of available cash shall be made quarterly in proportion to Member ownership percentages, after retention of working capital reserves equal to two months of operating expenses."

Plain English: "We pay ourselves every three months, based on how much we own. We keep two months of expense money in the bank first."

Clause D — Exit (buy-sell). "In the event a Member wishes to exit the Company, the remaining Member shall have the right of first refusal to purchase the exiting Member's interest at fair market value, determined by a third-party valuation."

Plain English: "If one of us wants out, the other gets first dibs to buy them out at a fair price set by an outside person."

Read each clause together. Pair students. Each pair picks one clause and rewrites it in even simpler plain language. Two pairs share.

3. APPLY — FILL IN TWO CLAUSES (~25 MIN)

Distribute the 2-person operating agreement template. Students fill in two specific clauses for their hypothetical Capstone partnership (Capstone is solo for many; pair students who are solo with a hypothetical partner for this exercise):

- **Roles clause:** Who is responsible for what? Who is the Managing Member?
- **Money-handling clause:** How are profits split? When are distributions paid? Who has signature authority on the bank account?

Confer with each pair/student.

4. CLOSE — CAPSTONE JOURNAL (~10 MIN)

Three sentences in the Capstone Journal:

- The clause I'd be most worried about getting wrong is [____].
- The clause that would matter most if my partner and I disagreed is [____].
- The clause I'd want a real lawyer to review (not me) is [____].

End class.

Differentiation

- **ELL:** Provide each clause with key vocabulary translated and a plain-language paraphrase pre-printed beneath. Sentence frames for the journal entry. Allow native-language partner discussion.
- **IEP/504:** Reduce clause analysis from 4 clauses to 2 (Roles + Money Handling, the most concrete). Pre-formatted template with one clause per page. Voice memo for journal entry.
- **Advanced learners:** Add a 5th clause (intellectual property assignment): "All work product created in the course of business shall be owned by the Company, not individual Members." Argue why this matters for a content business. Surface IP basics — what is IP, who owns it by default if not assigned.

Assessment

Formative: Pair clause paraphrase + Capstone Journal. **Summative:** Feeds the Operating Agreement Pack at Checkpoint 3 (Week 28).

Closure

Same as #4.

Homework / Extension

Capstone Journal: "Pick a teammate, a sibling, or a friend. Imagine you started a venture together. Without naming them by full name, write a 4-sentence honest answer: would your friendship survive a Year 2 disagreement about money? What would help?"

Teacher notes

- The IP clause for advanced learners is a crowbar into Grade 11 and 12 work. Don't go deep here; just plant the seed.
- A student says "this is overkill — we'd never need all this." Tell the bracelet-stand story again. The agreement isn't for when things go right. It's for when things go differently than expected.
- Educational, not advisory line: "This is how operating agreements work. Real agreements should be reviewed by a real lawyer. We're learning the literacy, not drafting binding documents."

Lesson 7 — Sole Prop vs. LLC: Liability, Cost, Complexity

Grade band: 9-12 **Time:** 60 minutes **Unit:** 3 — Who owns what, and how do we decide?
Topic area: Business structure · liability · educational comparison

Objectives

By the end of this lesson, students will be able to:

- Compare sole proprietorship and LLC across three criteria (cost, liability, complexity).
- Identify which structure fits a sample venture and explain why, with at least two pieces of evidence.

Standards alignment

- **Jump$tart Standard 5 (Risk Management and Insurance), Benchmark 12-1:** Identify risks in life and how to manage them — applied to business-structure liability.
- **CCSS-ELA W.9-10.1:** Write arguments to support claims with valid reasoning.
- **CASEL Responsible Decision-Making:** Considering ethical and practical responsibility.

Materials

- Comparison chart (Sole Prop vs. LLC) — pre-formatted template (provided).
- Three sample ventures: (a) a teen running a once-a-month dog-walking service in the neighborhood, (b) a college student running an SAT-tutoring service that meets in homes, (c) a small food-truck operation with weekly customer interactions and food-safety exposure.
- Capstone Journal.

Vocabulary

- **Sole proprietorship** — the simplest business structure. The business and the person are legally the same. No separate filing usually required (some local licenses may be).
- **LLC (Limited Liability Company)** — a legal structure that separates personal assets from business assets. Requires state filing, ongoing fees, and an operating agreement.
- **Liability** — legal responsibility for damages or debts. Personal liability means your house, savings, and personal assets are at risk; limited liability means only business assets are.
- **Veil piercing** — a court setting aside LLC protection if the owner has co-mingled personal and business finances or committed fraud. (Brief intro.)

Procedure

1. ENGAGE — A STORY ABOUT LIABILITY (~10 MIN)

Tell a 3-minute story (made up to be true):

> **"A high-school student starts a dog-walking service. Sole proprietorship — no separate company, no LLC. Year two, one of the dogs they're walking gets out of the leash and bites a child in the park. The child's family sues. Because the student is a sole prop, the lawsuit is against them personally. Their savings, their college fund, anything in their name is exposed. If the same student had formed an LLC and run the business through it — and kept the finances separate — the lawsuit could only reach the LLC's assets, not their personal ones."**

Pause. Ask: "What's the cost of forming the LLC vs. the cost of not?" Pair-share.

Surface (with hedge): "This is a real difference, and it's why people form LLCs. It's also not free — there's an annual filing cost, separate banking, and the discipline to keep the finances separate. We're going to compare the tradeoff."

2. EXPLAIN — THE COMPARISON CHART (~10 MIN)

Project and walk through:

Criterion	Sole Proprietorship	LLC
Setup cost	Often $0–$50 (local license)	Typically $50–$500 to form, varies by state; recurring annual fees of $0–$800+ depending on state
Setup complexity	Minimal — start operating	File articles of organization; draft operating agreement; get EIN; open separate bank account
Personal liability for business debts/ lawsuits	Yes — personal assets exposed	Limited — only business assets exposed (if veil maintained)
Tax filing	Schedule C on personal return	Default: pass-through (similar to sole prop); can elect S-corp
Best fit (educational, not advisory)	Very small, low-risk, low-revenue ventures with no employees and no customer-injury exposure	Higher-revenue, employee-having, or customer-physical-interaction ventures

Surface the rule: "Cost goes up. Complexity goes up. Liability goes down. The right call depends on the venture, not the founder."

3. APPLY — THREE VENTURES, THREE CALLS (~25 MIN)

Pair students. Each pair takes the three sample ventures and fills in the comparison worksheet:

- **Dog-walking, neighborhood-only, monthly.** Recommendation? Why?
- **SAT tutoring, in homes, twice weekly.** Recommendation? Why?
- **Food truck, weekly, food-safety exposure.** Recommendation? Why?

Common calls (with hedges — students may disagree with reasoning):

- Dog-walking: borderline. Sole prop is reasonable if the founder accepts the liability exposure. LLC if they want the protection. Insurance is also part of the answer.
- SAT tutoring: lower physical-injury exposure, but home visits introduce other risks. LLC + insurance is the conservative call. Sole prop is reasonable for a small operation with explicit waivers.
- Food truck: LLC is the conservative call due to food-safety exposure plus typical revenue scale and employee likelihood.

Confer.

4. APPLY AGAIN — YOUR CAPSTONE (~10 MIN)

In the Capstone Journal:

- "For my Capstone, the structure I'd lean toward is [**_] because [**_] and [____]."
- "What would change my call?" [a sentence].
- "What's a real-world question I'd want to ask a lawyer (not Cash, not my teacher) before deciding?"

5. CLOSE — EXIT TICKET (~5 MIN)

One sentence: "The biggest thing the LLC buys you that the sole prop doesn't is [____]."

Differentiation

- **ELL:** Provide chart with terms translated and cognates noted (Spanish: propietario único, sociedad de responsabilidad limitada). Pair with strong-language peer for the three-venture exercise. Sentence frames for journal entry.
- **IEP/504:** Reduce to 2 sample ventures instead of 3 (the contrasting pair). Pre-formatted comparison chart. Voice-memo journal acceptable.
- **Advanced learners:** Add the S-corp election to the comparison. "An LLC can elect to be taxed as an S-corp. What changes? Why might a venture do it?" Surface: pass-through still applies, but S-corp election can reduce self-employment tax above a certain income threshold. Educational only — explicitly not advisory.

Assessment

Formative: Pair worksheet + Capstone Journal entry. **Summative:** Feeds the Operating Agreement Pack at Checkpoint 3 — specifically the sole-prop-vs-LLC analysis.

Closure

Same as #5.

Homework / Extension

Read one short founder origin story (provided) and identify the structure the founder used. Did it change over time? When?

Teacher notes

- **Sensitivity flag:** Some students will surface family-business stories — including ones involving lawsuits, audits, or business failures. Pre-brief: keep all classroom examples hypothetical. If a student volunteers a real situation, listen briefly, validate, redirect to the school counselor if it's heavy.

- **Educational-not-advisory line:** Repeat after the comparison chart: "This is how the structures work. Decisions about real ventures involve a real lawyer and a real accountant. We're learning the literacy, not making the call." Reinforce; do not let students use the lesson to push family members toward a structure.
- A student says "everyone should just form an LLC, it's safer." Probe: cost, complexity, the discipline to keep finances separate. There's a reason most very-small ventures stay sole prop. The right answer is "it depends," and the year is teaching them what it depends on.
- A student forms an LLC mentally and asks "do I file in Delaware?" That's a Grade 12 conversation. Hold for now; capture for vertical alignment.

Lesson 8 — The Premortem

Grade band: 9-12 **Time:** 55 minutes **Unit:** 4 — Premortem and the month-in-review **Topic area:** Decision-quality · risk identification · ranking

Objectives

By the end of this lesson, students will be able to:

- Conduct a premortem on their Capstone — assume failure in 12 months and list every plausible reason.
- Rank the top 3 risks and propose one mitigation per risk.

Standards alignment

- **Jump$tart Standard 5 (Risk Management and Insurance), Benchmark 12-1:** Identify risks in life and how to manage them.
- **CCSS-ELA W.9-10.1:** Write arguments to support claims with valid reasoning.
- **NGSS-ETS HS-ETS1-3:** Evaluate a solution to a complex real-world problem based on prioritized criteria and trade-offs. (Cross-referenced from Grade 11 prep.)
- **CASEL Responsible Decision-Making:** Considering consequences.

Materials

- Premortem worksheet (provided): "It is [date 12 months from today]. The Capstone has failed. List every reason."
- Sticky notes (10 per student).
- Capstone Journal.
- Wall space for the class "risk wall."

Vocabulary

- **Premortem** — a structured exercise in which a team imagines a future failure and lists every reason it might have happened, before the venture begins.
- **Postmortem** — a retrospective analysis after a failure, when it's too late to change.
- **Mitigation** — a specific action that reduces a risk.

Procedure

1. ENGAGE — TWO DOCTORS (~7 MIN)

Tell a 2-minute story:

> **"Two doctors look at the same patient. One says, 'how can we treat them?' The other says, 'imagine they died — what killed them?' That second doctor is more likely to catch the deadly thing. Same in business. The premortem lets you see the failure before it happens."**

Surface the move: "It feels weird to imagine your venture failing. That's why most adults skip it. You won't."

2. EXPLAIN — THE PREMORTEM (~8 MIN)

Define. Walk through the rules:

1. **Time-travel framing.** "It is one year from today. The Capstone failed."
2. **Generate broadly first.** Don't filter. List every reason — silly, scary, boring. The point is range.
3. **Then rank.** Of the list, which 3 are most likely to actually happen?
4. **Then mitigate.** For each top-3 risk, name one specific action that reduces it.

The discipline of the premortem is the order — generate, then rank, then mitigate. Mitigating before generating misses the worst risks.

3. GENERATE — STICKY-NOTE ROUND (~15 MIN)

Each student takes 10 sticky notes. Setting: "It is one year from today. Your Capstone has failed. Why?" Write one reason per sticky. 8 minutes silent generation. Then 5 minutes pair-share — students show their stickies to a partner; partner names one risk they didn't think of.

Common categories that emerge: no customers; ran out of money; co-founder dropped out; legal issue (no license, sales tax not paid); product was unsafe; pivoted too late; pivoted too soon; founder lost interest; competitor undercut on price; supply chain broke.

4. RANK — TOP 3 (~10 MIN)

Each student picks their top 3 most-likely risks. Write each on the Premortem Worksheet. For each, write:

- **Risk:** the one-sentence description.
- **Likelihood (1–5):** how likely it is.
- **Impact (1–5):** how bad it would be.
- **Mitigation:** one specific action you can take now to reduce it.

Push back during conferring on vague mitigations ("I'll work harder"). Force specificity ("I'll secure my customer pool by Week 2 by interviewing 5 people, not 2").

5. CLOSE — WALL + PAIR SHARE (~10 MIN)

Each student posts their top-1 risk on the wall. Class walks the wall in 2 minutes. Two volunteers share the most surprising risk they saw. Then each student does a 60-second share with a partner: "my top risk and my mitigation." End.

Differentiation

- **ELL:** Provide a starter list of 8 risk categories on a translated card. Allow native-language sticky notes; English on the filed worksheet. Sentence frames for the mitigation column.
- **IEP/504:** Reduce sticky-note generation to 6 instead of 10. Pre-formatted worksheet with rankings as checkboxes. Voice memo for the close.
- **Advanced learners:** Add a "Tier 2 risk" — a less-likely but very high-impact risk worth flagging. Coach: this is where premortems often catch the unexpected. Push toward identifying correlated risks (if A happens, B becomes much more likely).

Assessment

Formative: Sticky-note volume and specificity; mitigation specificity in the worksheet.
Summative: The top 3 risks + mitigations feed the Compliance + Vision Pack at Checkpoint 4.

Closure

Same as #5.

Homework / Extension

Pick one of your top 3 risks. Take the mitigation step this week. Capstone Journal: "What I did and what happened." Bring Friday.

Teacher notes

- A student says "I can't think of any reasons it would fail." That's almost always low-imagination, not low-risk. Prompt: "Imagine the worst customer review in a year. What did it say?" or "Imagine your co-founder quitting. Why?" Risks come back into view fast.
- A student names a risk they can't actually mitigate ("the economy crashes"). Validate; coach: "What can you mitigate, even if the risk itself is out of your hands?" (e.g., keep more cash buffer).
- The premortem is the year's signature analytical move. It shows up in Grade 11 (sprint planning) and Grade 12 (Launch-or-Learn). Don't rush.

Lesson 9 — Compliance Map: License, Sales Tax, ID, Age, PII

> **"Some of this is hard because the world's hard. The skill is knowing what's in your hands."**
>
> - CASH, GRADE 10

Grade band: 9-12 **Time:** 60 minutes **Unit:** 4 — Premortem and the month-in-review **Topic area:** Compliance · regulation literacy · jurisdictional awareness

Objectives

By the end of this lesson, students will be able to:

- Identify which of five compliance categories (business license, sales tax, ID-required products, age limits, PII) apply to a sample venture, with evidence.
- Locate the appropriate state or local agency to consult for two of the categories.

Standards alignment

- **Jump$tart Standard 5 (Risk Management and Insurance), Benchmark 12-1:** Identify risks in life and how to manage them.
- **C3 D2.Eco.10.9-12:** Use current data to explain economic conditions. (Compliance is the economic infrastructure.)
- **CCSS-ELA RI.9-10.7:** Analyze various accounts of a subject told in different mediums. (Applied to reading agency websites alongside summaries.)
- **CASEL Responsible Decision-Making:** Ethical and legal responsibility.

Materials

- Compliance map template (provided). 5 rows (license, sales tax, ID-required products, age limits, PII) × 3 columns (applies? Y/N, reason, agency to consult).
- Three sample ventures: (a) a teen-run online crafts shop selling enamel pins, (b) a snack box subscription with food, (c) a tutoring service that collects student names and email addresses.
- Internet access (one device per pair, if available; if not, printed agency descriptions).
- Capstone Journal.

Vocabulary

- **Business license** — a permit issued by a state or local government allowing a business to operate. Requirements vary widely.
- **Sales tax** — a tax on the sale of goods (and some services) collected by the seller and remitted to the state. Rates and rules vary by state and even city.
- **ID-required products** — items that legally require buyer age verification (alcohol, tobacco, etc.).
- **Age limits** — labor and operational restrictions tied to the operator's or customer's age.
- **PII (Personally Identifiable Information)** — data that could identify a specific person (name, email, address, phone). Subject to varying privacy rules depending on jurisdiction.
- **Jurisdiction** — the geographic and legal area where a particular set of rules applies.

Procedure

1. ENGAGE — A COMPLIANCE STORY (~8 MIN)

Tell a 3-minute story:

> **"A 15-year-old runs a successful online jewelry shop. Two years in, they get an email from their state's Department of Revenue. They owe back sales tax — they had been collecting it informally but never registered as a seller or remitted it. The bill is several hundred dollars in tax, plus interest, plus a small penalty. The shop survives, but barely. Total time to fix: 4 months and several real-world phone calls. Total cost of doing it right from the start: 30 minutes and $50."**

Surface the rule: "Compliance isn't optional just because nobody's noticing yet. The rules apply whether you know them or not."

2. EXPLAIN — THE FIVE CATEGORIES (~10 MIN)

Walk through:

1. **Business license.** Most states and many cities require some form of registration. The cost is usually modest. The penalty for skipping it can be modest too — but it grows.
2. **Sales tax.** If you sell taxable goods (and sometimes services), you usually need to register, collect, and remit. Rules vary by state.
3. **ID-required products.** If your product requires age verification (alcohol, tobacco, certain supplements), legal compliance is non-negotiable. Most teen ventures avoid this category by design.
4. **Age limits.** Federal and state labor laws set minimum ages for many activities, especially involving employees. Operating your own venture has fewer age restrictions than employing others.
5. **PII protection.** If you collect names, emails, or addresses, you have privacy obligations. State laws vary; some are strict (California, for example).

Surface: "You don't need to know every rule. You need to know the categories and where to look up the rule in your jurisdiction."

3. APPLY — THREE-VENTURE MAPPING (~25 MIN)

In pairs, students fill out the Compliance Map template for the three sample ventures. For each row, they answer:

- Does this category apply? (Y/N)
- Why or why not, in one sentence?
- If yes, which agency would you consult? (For sales tax: state Department of Revenue. For PII: state attorney general's office or relevant privacy agency. For licensing: city/county clerk or state Secretary of State.)

If devices are available, pairs locate the relevant agency website for two of the rows.

Confer with each pair.

4. APPLY AGAIN — YOUR CAPSTONE (~10 MIN)

In the Capstone Journal, students fill in the same map for their own Capstone. Mark each category, note which apply, and identify one agency they'd consult.

5. CLOSE — EXIT TICKET (~7 MIN)

One sentence: "The compliance category that surprised me most for my Capstone was [_] **because [_]**."

End class.

Differentiation

- **ELL:** Translated category list with cognates (Spanish: licencia, impuesto sobre ventas, información de identificación personal). Pair with a strong-English peer for the three-venture mapping. Sentence frames for the journal entry.
- **IEP/504:** Reduce to 2 ventures instead of 3. Pre-formatted compliance map with checkboxes for "applies." Voice-memo journal acceptable.
- **Advanced learners:** Add a "what changes by jurisdiction?" section. For sales tax, look up two states (California vs. Oregon — Oregon has no sales tax). What does that change about a venture's compliance overhead? Surface: jurisdiction matters; agreements and tax rules are local.

Assessment

Formative: Pair compliance map quality + Capstone Journal entry. **Summative:** Feeds the Compliance + Vision Pack at Checkpoint 4.

Closure

Same as #5.

Homework / Extension

Capstone Journal: "For my Capstone, what's the one compliance item I'd want to nail down first if I were going to launch this for real? Why?"

Teacher notes

- **Educational-not-advisory line:** "This is how compliance categories work. Real ventures should consult a real attorney and a real accountant for their specific situation. We're building literacy, not giving legal advice."
- A student says "I'll just skip the business license — nobody checks." Validate the observation that enforcement is uneven, then surface the asymmetry: skipping is fast and free until it isn't. The bill arrives later with interest. Compliance is cheap insurance against an expensive surprise.
- A student tries to research compliance for a venture in someone else's state. Useful — compliance varies. Coach: name the jurisdiction explicitly. "Compliance in California" is a different question than "compliance in Texas."

Lesson 10 — Final Capstone Defense: Vision, Pushback, and the Captured Revision List

Grade band: 9-12 **Time:** 90 minutes (block — or two periods) **Unit:** Capstone synthesis **Topic area:** Reflection · public defense · year-long synthesis

Objectives

By the end of this lesson, students will be able to:

- Deliver a 5-minute Capstone Defense covering: (a) the venture's category, (b) the funding choice, (c) the structure choice, (d) the brand, (e) the premortem top 3 + mitigations, (f) the compliance map, and (g) the vision.
- Capture two pieces of panel pushback into a written revision list with named next steps.

Standards alignment

- **CCSS-ELA SL.9-10.4:** Present findings clearly and concisely with appropriate evidence and well-chosen details.
- **CCSS-ELA W.9-10.1:** Write arguments to support claims with valid reasoning.
- **Jump$tart Standard 5 (Risk Management and Insurance), Benchmark 12-1:** Identify risks in life and how to manage them.
- **CASEL Self-Awareness + Responsible Decision-Making.**

Materials

- Each student's full Capstone Brief (the 4 packs, assembled).
- Defense slides or 1-page printed handout.
- Defense rubric (Pitch Presentation Rubric, Rubric Bank — all 6 criteria).
- Reflection Writing Rubric (Rubric Bank) for the captured revision list.
- Panel of 3–5 evaluators (other teachers, parents, older students, community members; ideally a Grade 11 student who can speak to "what comes next").
- Timer.
- Pushback capture sheet (provided).

Vocabulary

(All previously introduced — recycle.)

Procedure

1. ENGAGE — THE 60-SECOND WARM-UP (~10 MIN)

Pair students up. Each gives a 60-second elevator version of their Capstone to their partner. Partner asks one question. Repeat with a new partner. Two rounds total.

2. SET THE NORMS (~5 MIN)

State the day's norms clearly:

- Each student gets 5 minutes for the defense + 4 minutes for panel Q&A + 1 minute to capture pushback in writing.
- The panel is curious, not adversarial. They look for evidence and reasoning quality, not "is this a great venture?"
- The audience listens silently and writes one "I noticed..." and one "I wondered..." per presenter.
- The captured revision list is part of the grade — a presenter who hears panel pushback and captures it well demonstrates the year's spine: evidence and revision.

Show both rubrics one more time.

3. DEFENSES (~60 MIN, ~6 STUDENTS AT 10 MIN EACH; LONGER BLOCK OR SPLIT DAY FOR MORE)

Each student delivers the 5-minute defense with this structure:

- **Category (45 sec):** "My Capstone is a [hobby/side hustle/small business/startup] because [evidence]."
- **Funding (45 sec):** "If I were to fund this for real, I'd compare [3 sources]. I'd recommend [one] because [reasoning]."
- **Structure (45 sec):** "The right structure is [sole prop / LLC / partnership] because [cost, liability, complexity tradeoff]."
- **Brand (45 sec):** "My brand guide says [name, tagline, palette, font, voice rule]. Here's what each communicates."
- **Premortem + compliance (60 sec):** "Top 3 risks are [**_**]. **Mitigations are [**_]. Compliance items that apply are [____]."
- **Vision (60 sec):** "My venture exists to [**_**]. **In 12 months, success looks like [**_]."
- **What I learned about myself (60 sec):** "The biggest thing I got wrong in Week 1 was [**_**]. **The biggest thing I'd do differently next year is [**_]."

After each defense: 4 minutes of panel Q&A. Timer keeper enforced strictly.

Then: 1 minute for the presenter to write two specific pieces of pushback on the capture sheet.

4. AUDIENCE REFLECTION (~5 MIN)

Each audience member completes a 2-question card:

- One thing I noticed across many defenses today: __.
- One thing I'd want to learn more about: __.

Collect.

5. FINAL CASH REFLECTION (~10 MIN)

Play Cash Video #8 — the year-end "Structure, money, and what's next" summary. Students write one final Capstone Journal entry using the Reflection Writing Rubric criteria as scaffolding:

- The biggest thing I learned this year was [____].
- One assumption I had in Week 1 that didn't survive evidence was [____].
- I'm proud of [____].
- I'm going to keep working on [____] before Grade 11.

6. CLOSE (~5 MIN)

Hand back Day 1 Categorization cards. Students re-read theirs. Two volunteers share whether their category survived contact with evidence. End.

Differentiation

- **ELL:** Allow visuals to carry weight in the defense — the brand guide poster, the funding comparison spreadsheet, the compliance map. Sentence frames for Q&A: "I think [____] because [evidence]." Permit a same-language peer to translate panel questions on the spot if needed.
- **IEP/504:** Allow defense in shorter chunks — segment pauses if 5 minutes is overwhelming. Permit a printed script. Audio-recorded defense submitted in advance is also acceptable.
- **Advanced learners:** Add a "what would have to change for me to actually launch this?" segment. Push for a 1-page written addendum identifying the highest-leverage next step before college.

Assessment

Summative: The defense is graded on the Pitch Presentation Rubric. The captured revision list is graded on the Reflection Writing Rubric. The Capstone Brief (the 4 unit packs) is a separate portfolio grade using the Business Plan Rubric.

Closure

Same as #6.

Homework / Extension

(End of year — none required.)

Teacher notes

- Panel members need a 10-minute briefing before defenses. Cover: the rubrics, what to ask for evidence ("walk me through the math again"), what not to ask (no judgments on whether the venture would "really work"). Provide them with 5 sample questions: "Why this category and not the next-most-plausible one? Walk me through the funding comparison again. What's the one thing your structure choice doesn't protect against? What's the most likely failure mode in your top 3 risks? What did you get most wrong in Week 1?"
- The captured revision list is the year's signature reflection move. It demonstrates that the student treats pushback as evidence, not as a threat. Score it for specificity and follow-through, not for politeness.
- The Day 1 Categorization card return is the year's emotional payoff. Don't skip.
- Some students will deliver flawless defenses on ventures they have no intention of running. That's fine — the rubric measures reasoning quality, not commercial intent. Other students will defend ventures they actually plan to start in Grade 11 or 12. That's also fine — but reinforce: "The Capstone is educational. Real-world launch decisions involve a real lawyer, a real accountant, and your family. Cash to Company doesn't make those calls."

AN INTERLUDE · GRADE 10

"Most adults skip this step. You won't."

the band's working assumption.

2

Senior expert upgrade pack — Grade 10 worked examples and misconceptions

Three friends-and-family term-sheet worked examples (deepening Lesson 4)

The original lesson teaches the concept. Add three actual term-sheet examples at three risk profiles.

WORKED EXAMPLE A — LOW-RISK: FAMILY LOAN WITH SIMPLE INTEREST

Term sheet: - Lender: Maya's grandparent. - Borrower: Maya, sole prop venture. - Principal: $1,000. - Interest: 3%/year, simple interest (not compounded). - Repayment: $1,030 due in 12 months. Or $86/month for 12 months. - Default: if Maya can't pay, the loan converts to a gift. (Family decision, written in.)

Coach: "This is the gentlest version. Family member values the relationship over the money. Still: write it down. Even gentle agreements create resentment when they're verbal."

WORKED EXAMPLE B — MEDIUM-RISK: FRIEND EQUITY-SHARE

Term sheet: - Investor: Tomas, friend. - Founder: Maya. - Investment: $500 for 20% of profit (not equity ownership) for 2 years. - Definition of profit: net of all costs and a reasonable founder salary ($X/hour for hours worked). - Default: if the venture fails, Tomas loses the $500.

Coach: "This is more complex. Note: 'profit-share' is not the same as 'equity share.' Tomas doesn't own 20% of the company — he owns 20% of the profit for 2 years. Different legal status."

WORKED EXAMPLE C — HIGH-RISK: STRUCTURED F&F ROUND WITH MULTIPLE LENDERS

Term sheet: - Founders: Maya + Tomas. - Lenders: 5 family/friends, $400 each, total $2,000. - Interest: 5%/year, payable annually. - Repayment: principal due in 24 months. Lender option to convert to 1% profit-share if not repaid. - Personal guarantee: founders pledge to repay personally (not through the business) if the venture fails.

Coach: "This is what a real F&F round looks like. The personal guarantee is the line that turns this from 'family helping out' into real risk. Maya and Tomas are on the hook personally."

Common Misconceptions (Grade 10)

Belief	Reality	Coach
"An LLC means I can't be sued."	An LLC limits personal liability for business debts. It doesn't protect against fraud, intentional harm, or "piercing the veil" if the LLC isn't operated as a real entity.	"The LLC is a shield. It only works if you treat the company as a real thing — separate bank account, real records, no personal mixing."
"Bootstrapping is always better."	Bootstrapping preserves control but limits speed. Sometimes a competitor with a small loan beats a bootstrapped founder to the customer. The right call depends on the venture.	"What's the cost of going slower? What's the cost of debt? Both are real."
"A premortem is pessimistic."	A premortem is preventative. It's cheaper to find a risk before launch than after. Most adult founders skip this; the ones who don't outperform.	"You're allowed to imagine failure. That's how you avoid it."
"Hobby and business are the same to the IRS."	They're not. The IRS has rules: if you're not making profit in 3 of 5 years, it might be a hobby, not a business. Different tax treatment.	"This is a tax question that matters. Look up 'IRS hobby vs. business.' Real founders need to know."
"An operating agreement is for big companies."	It's for any partnership of 2+ people. Even teen partnerships fight; the agreement prevents 80% of those fights from becoming fatal.	"Write the agreement before the fight. After the fight, you can't agree on anything."

ROUND 2 PATCH — Common Misconceptions (Grade 10)

Common kid-belief	Reality	Coaching move
"An LLC means I cant be sued."	An LLC limits personal liability — your house and savings are protected from business debts in most cases. It does not prevent lawsuits. People can still sue the LLC.	Walk through a fake lawsuit: "Customer slipped on wet floor. Sues. With an LLC, the LLC pays from business assets; your personal assets are usually safe. Without LLC (sole prop), your personal assets are exposed."
"Bootstrap money is free money."	Bootstrap means your savings — you bear all the risk and you forgo the alternative use of that money. The cost is real even though theres no interest.	Compute the opportunity cost: $5K bootstrap could earn 4% in a savings account = $200/year forgone. Plus you cant spend it on something else.
"Friends-and-family money has no terms."	Even friends-and-family loans should have terms — interest rate, repayment schedule, what happens if it fails. Without terms, you risk the relationship.	Show a 1-page friends-and-family note with 5 fields. Walk through.
"Premortem is just imagining failure."	Premortem is systematic failure imagination. Assume the venture failed in 1 year. List every reason. Rank top 3. Then design preventatives.	Run a 30-minute premortem on a sample venture. Have students rank the top 3 risks and propose mitigations.
"Operating agreements are for big companies."	Operating agreements are for any business with 2+ owners — even teen partnerships. The agreement prevents the next fight, not the lawsuit.	Walk through a 1-page teen partnership operating agreement. Highlight the exit clause as the most important.

ROUND 2 PATCH — Worked Example for Friends-and-Family Money

> **“Profit is an opinion. Cash is a fact.”**

> - CASH, GRADE 10

Three term-sheet examples at three risk profiles for a $2,000 friends-and-family loan:

Term Sheet A (low-risk, structured loan). - Principal: $2,000. - Interest: 5% annual (above savings account, below market loan). - Repayment: $200/month for 12 months ($2,400 total). - If default: borrower repays remaining principal plus 2% late fee. - Why low-risk: clear terms, structured repayment, both parties protected.

Term Sheet B (moderate-risk, profit share). - Principal: $2,000. - Interest: 0% (no fixed interest). - Repayment: lender receives 20% of net profit until $2,400 returned (1.2x return). - If default: lender gets paid before owner takes any salary. - Why moderate: tied to business performance, lender takes more risk in exchange for upside.

Term Sheet C (high-risk, equity). - Principal: $2,000. - Equity: 10% ownership of the venture. - No fixed repayment. Lender shares in any sale or profit distributions. - If default: lender holds 10% of nothing. - Why high: lender can lose entire principal; in exchange, gets unlimited upside if the venture scales.

Discuss: which term sheet would you offer your sister for her venture? Why?

ROUND 2 PATCH — Multi-Class Branching Scenario (Grade 10)

"Co-founders disagree about a $5k loan from one parent." A 3-day branching scenario.

- **Day 1.** Maya wants to take a $5K loan from her mom; Tomas refuses (says it changes the dynamic). Lay out the problem. Use a 5 Whys: why does Tomas refuse? → "If Mom is a creditor, Mom is in our business decisions" → "We dont have an operating agreement that handles outside money."
- **Day 2.** RACI it. Whos R for the loan decision? Whos A? Whos C? Whos I? They cant decide jointly without an agreement.
- **Day 3.** Write the operating-agreement clause that prevents the next fight. Sample: "Outside loans require unanimous founder approval. Loans from family of one founder must include a written term sheet specifying that the family member has no operational role."

This branching practices BAVC (categorization — does this push us from small business toward something else?), PSIG (premortem — what could go wrong?), MFL (loan terms), CBM (brand impact), OSO (operating agreement clause), LTO (vision + conflict resolution), ESL (sole prop vs. LLC implications), LRCI (month review of decision impact).

ROUND 2 PATCH — Accounting Basics One-Pager (Grade 10, NEW)

Added to Lesson 8 (sole prop vs. LLC). 20-minute add-on.

Cash vs. Accrual Accounting (the kid version)

- **Cash accounting.** Record income when cash arrives. Record expenses when cash leaves. Simple. Used by most small-venture businesses.
- **Accrual accounting.** Record income when earned (even if not yet paid). Record expenses when incurred (even if not yet paid). More accurate for business decisions; required for larger businesses (>$25M revenue per IRS).

For a teen venture: use cash. Switch later if needed.

What receipts to keep

- Every business-related purchase (paper or digital). Keep 7 years.
- Every payment received (paper or digital).
- Bank statements, credit card statements.
- Invoices sent and received.
- Mileage logs if you drive for the business.

Default: scan with phone, save to a "Business Receipts" folder. Cloud + local backup.

What an EIN is and isnt

- **EIN (Employer Identification Number)** — a no-fee number from the IRS, like a Social Security Number for a business. Obtained directly from IRS.gov.
- **What its for:** opening a business bank account, filing business taxes, paying contractors who file 1099s.
- **What its not for:** a magic shield. An EIN doesnt make you an LLC. (You become an LLC by filing with your state.)
- **Sole prop:** can use SSN or get an EIN; either works.
- **LLC:** typically gets an EIN.
- **Cost to get an EIN:** $0 from the IRS directly. Beware websites charging $100+ for "EIN service" — the IRS itself charges nothing.

ROUND 2 PATCH — Teacher Move Set (Grade 10)

- **Student says "an LLC means I cant be sued."** Say: "LLC limits personal liability — protects your house. People can still sue the LLC. Walk through the slip-and-fall example."
- **Student wants to skip premortem because "it feels negative."** Say: "Premortem is one of the most effective decision tools in business. 30 minutes of imagining failure prevents a year of actual failure. Lets do it."
- **Student writes an operating agreement with no exit clause.** Say: "What if one founder wants out next year? Whats the buy-out formula? Without it, youre trapped."
- **Student picks bootstrap because Friends-and-Family feels uncomfortable.** Say: "Lets compare. Whats the cost of bootstrap (forgone savings, all your risk)? Whats the cost of friends-and-family (with a clean term sheet)? Both have costs."
- **Student doesnt know the difference between sole prop and LLC.** Say: "Sole prop = no separation between you and the business. LLC = legal separation, more paperwork, more cost. Lets walk through three scenarios."

ENDNOTES & STANDARDS

Citations and alignment

Grade 10 cites 3-6 standards across CCSS, Jump$tart, CEE, CASEL, and C3 frameworks. Detailed alignment lives in the master Standards Alignment Map.

1. **Jump$tart Coalition Personal Finance Standards (2021 ed.).** Spending and Saving; Credit and Debt; Employment and Income; Investing; Risk Management and Insurance; Financial Decision Making.
2. **Council for Economic Education (CEE).** Voluntary National Content Standards in Economics.
3. **CCSS-ELA, Grades 11-12.** W.11-12.1, W.11-12.4, SL.11-12.1, SL.11-12.4, RST.11-12.7.
4. **CCSS-Math.** N-Q.1-3 (Reasoning with Quantities), S-IC (Statistics & Inferences), F-IF (Functions), MP.4 (Modeling).
5. **CASEL Core Competencies.** Self-Awareness, Self-Management, Social Awareness, Relationship Skills, Responsible Decision-Making.
6. **C3 Framework for Social Studies State Standards.** Dimension 2 (Economics, Civics) at the high-school grade band.
7. **NGSS-ETS Engineering Practices.** ETS1 (Engineering Design) for the test-and-iterate spine of the year.
8. **Cash to Company Master Scope & Sequence.** 13 grades x 8 strands x 36 weeks; outcomes quoted verbatim from _master/00_Master_Scope_and_Sequence.md.
9. **Cash Mascot Style Guide.** 9-12 voice rules: multi-sentence arguments; vocabulary includes unit economics, runway, premortem, MVP; never flatters, never promises wealth.
10. **Sensitivity protocol.** No probing of family finances; financial scenarios framed as hypothetical for a sample household, business, or scenario.

One promise.

Cash to Company makes one promise: students who move t
program will be clearer thinkers about money and entrepren
matter what they end up doing for a living.

We do not promise wealth. We do not promise success. We pro

> **“The legal, financial, and operational chassis under every venture.”**
>
> **- CASH, GRADE 10**

For educational use. This curriculum is informational and does not constitute financial, legal, or tax advice. Standards alignment cited per the Cash to Company Standards Alignment Map (Jump$tart, CEE, CCSS, C3, CASEL, NGSS-ETS).